

fund-raising is yet to take off. The \$12 million issue of executive education platform XED, the first such public issue in GIFT IFSC, was scrapped recently due to poor response amid the uncertainty fuelled by the conflict in West Asia. Experts feel there is a need to deepen market liquidity to compete globally.

GIFT City's primary competition is Asian jurisdictions like Dubai. Dubai International Financial Centre (DIFC) has 2,525 active registered companies. The number rose 39% in 2025. It has 1,052 regulated firms, making it one of the most significant financial ecosystems. The number of wealth and asset management companies rose 22% last year to more than 500. Focusing on new technologies, DIFC has attracted 1,677 AI, fintech and innovation focused entities, with a 35% rise in 2025.

Family-related entities in DIFC rose 61% last year. The family businesses alone are estimated to have over \$1 trillion in assets, according to DIFC. Dubai ranks seventh on the Global Financial Centres Index. In comparison, GIFT City ranks 46th. Clearly, the greenfield hub has a long way to go.

WHAT IS SLOWING GIFT?

One issue that is slowing down GIFT City's growth is KYC of foreign investors, say experts. India follows strict KYC and anti-money laundering norms. Non-resident investors need to submit physical applications and supporting documents for KYC, which adds cost and time. A few months ago, IFSCA started allowing video KYC, but it's still only for NRIs; even after a video KYC, physical documentation is required.



“Last month alone, we got \$40-45 million. Despite the volatility in equity markets, the flow was strong and we could buy at the bottom”

VAIBHAV SHAH

HEAD, PRODUCTS, BUSINESS STRATEGY, INTERNATIONAL BUSINESS, MIRAE ASSET INVESTMENT MANAGERS INDIA



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RAJESH GANDHI

PARTNER, DELOITTE INDIA

Rajesh Gandhi, partner at Deloitte India, says, “The regulatory and tax framework for funds in IFSC is highly conducive and globally competitive, on par and even better in certain aspects as compared to jurisdictions such as Mauritius, Ireland and Cayman Islands.” He adds that the approval process is also well streamlined with faster turnaround timelines.

“One of the big issues is video KYC of foreign investors. If we want subscriptions from non-resident investors, we will have to create a methodology where we can take their local tax number as a validation source. Also, some more improvements will have to come through under our KYC client due diligence regulatory norms,” says Balasubramaniam of NSE IX. Certain jurisdic-

tions allow omnibus accounts, essentially pooled accounts, where a financial intermediary or broker combines assets of multiple investors. The transactions get registered in the name of the intermediary and end-investor details remain private.

Rajaraman of IFSCA says PMLA adherence is non-negotiable and, therefore, there is a challenge with omnibus accounts as details of end investors are not available. While certain conditions are non-negotiable, how KYC can be made simpler for retail investors is something the IFSCA is looking at, he says.

“We recently set up a working group to allow face authentication for NRIs also. This group is working on a pilot with the UAE and I think the US as well. We will